

rebalanced portfolio that maintained 50 percent allocation in each investment starting in Year 2 eliminated the volatility of returns, and that increased the compounded return of the portfolio to 5.0 percent compounded annually.

The example is an exaggerated case. Rarely do investments cooperate the way I describe. But the theory is sound. Diversifying across many investments that are dissimilar and rebalancing those investments to their original target at the end of the year can reduce the annual volatility of the portfolio over time by enough to increase the compounded return. This “free lunch” from rebalancing is the essence of modern portfolio theory.

There are different methods of rebalancing. The two most popular ones are based on the calendar and percentage targets. When using a calendar method, investors choose to rebalance after a specific period of time, such as a year, a quarter, or a month. Other investors prefer to use asset class percentage targets. When a portfolio is off the target allocation by a certain percentage, it is rebalanced, regardless of when the last rebalancing took place.

A rebalancing strategy based on percentages may deliver slightly better performance than the calendar method; however, the difference is not much. The percentage strategy requires significantly more time to monitor and implement, and I do not believe it is worthwhile for individual investors to pursue this strategy. Therefore, annual rebalancing is the method used in this book. What is best for you is one you will actually maintain without procrastination. Annual rebalancing is simple and cost effective, and it takes only a little time each year to implement, which means that you are more likely to get it done.

CORRELATION EXPLAINED

Annual rebalancing helps capture a diversification benefit by selling some of an investment that did well and buying more of an investment that did not do as well. Of course, this assumes that the investments in a portfolio do not all act the same way at the same time. Therefore, the method of selecting investments that *normally* do not act the same way is as important as rebalancing itself. That said, I will also warn you that there are no two asset classes that relate the same way to each other all the time. These relationships are dynamic, and they can and do change without warning.